



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was not satisfactory. Candidates are reminded to carefully read the question requirements, as these required the candidate to use an enterprise risk management framework, identify three types of ethical conflicts, evaluate external competitive environments and financial performance, and use three relevant business valuation methods to plan and write their answers. Merely copying materials from the learning pack into their answers without further explanation and applications should be avoided. Candidates are advised to look at the case carefully so that they know how to explain and apply their knowledge to answer the case questions. Candidates should also wisely manage their examination time so that they can complete all the examination questions.

Specific Comments

Question 1 – 12 marks

This question required candidates to use the enterprise risk management framework to advise on how the Group could use the framework to monitor and manage the business and financial risks of the Group. Many candidates accurately discussed the business and financial risks of the case with examples. However, most candidates did not use the enterprise risk management framework in their discussions and recommendations. Only a few candidates differentiated strategic and operational levels in the enterprise risk management framework to monitor and manage business and financial risks. Candidates should use and follow the framework given in the question when preparing their answers.

Question 2 – 10 marks

This question required candidates to identify three types of ethical conflicts related to sales, accounts receivable, and sales commission issues in the Group and to propose possible solutions to resolve these ethical conflicts. There were three ethical aspects, namely agency cost, conflicts of interests, and information asymmetry, that candidates had to address in sales, accounts receivable, and sales commission issues in the case. Most candidates briefly discussed conflicts of interest among sales, accounts receivable, and sales commission issues, but they did not provide further elaboration on the conflicts among sales managers, the sales director, and the Group. Most



candidates did not discuss nor provide a possible solution to resolve agency cost and information asymmetry ethical matters in sales, accounts receivable, and sales commission issues. Candidates should therefore look at the question carefully and follow the instructions provided by the question to prepare their answers. Merely copying fundamental principles of the Code of Ethics is not an appropriate approach to answer this question.

Question 3 – 16 marks

This question required candidates to act as the finance director of the Group and to prepare a memo to the Board of Directors to evaluate the external competitive environment and the financial performance of the Group contributing to poor business and financial performance. Candidates were required to include calculations of the NOVA Online B2B business in their answers. Most candidates understood the question requirements and used PEST to provide an environmental analysis of the business performance of the NOVA Online B2B. Some higher performing candidates used Porter's five forces to evaluate the external competitive environment issues of the NOVA Online B2B. Overall, most candidates did not adequately demonstrate the analytical and quantitative skills necessary to describe and evaluate financial performance using the appropriate financial ratios: in particular, the profitability, liquidity, and gearing aspects of the Group.

Question 4 – 12 marks

This question required candidates to use three relevant business valuation models to conduct a valuation of the proposed NOVA Online B2C business before the Group implemented the restructuring of NOVA Online from a B2B business to a B2C business. Candidates were also asked to recommend the most favourable valuation method that should be used by the Group. Most candidates used the net asset valuation method to conduct the business valuation. However, many candidates did not use two other valuation methods—namely, the capitalization of earnings method and the residual method—to correctly conduct valuations. Some candidates simply copied some formulas from the learning pack into their answers without appropriate application and calculations, which should be avoided.

(II) Section B – Essay/Short Questions

General Comments

The candidates' performance was less than satisfactory. In general, most candidates failed to identify the specific question requirement and misinterpreted the tested topics. They simply copied content from the reference material and provided generic answers without application and without linking their answers to the specific question background. Candidates' performance on some calculation-type questions, such as cash flow forecasts and bond prices, was quite weak.



Specific Comments

Question 5(a) – 10 marks

This question required candidates to prepare a cash flow forecast based on the financial information provided.

The candidates' performance was very poor. Most candidates failed to use appropriate financial information to provide an accurate cash flow forecast for the appropriate payment period. Many candidates also failed to convert the financial information to various local currencies, which was required by the question.

Nevertheless, a few candidates provided a complete cash flow forecast and thus achieved satisfactory marks.

Question 5(b) – 5 marks

This question required candidates to assess if the Company shall continue with the early settlement discount and to provide a recommendation to improve working capital of the Company with the background provided.

The candidates' performance was satisfactory. Most candidates compared the effective interest rate with the discount offered by vendors. Candidates also made sound recommendations to improve working capital. Some candidates mentioned that the inventories management was irrelevant as the Company did not have any inventories.

Question 5(c) – 3 marks

This question required candidates to advise on what actions the Company should take before communicating the change of dividend payout to their shareholders.

The candidates' performance was poor. Most candidates did not understand the questions properly and provided generic answers related to the signal effect of the dividend payout policy. Only very few candidates mentioned that the Company needs to gain the buy-in from their shareholders by showing how good the projects were as well as the respective measurements of the success of the projects. Some candidates mentioned WACC without providing relevant elaboration. Candidates overall provided very weak explanations and few concrete solutions detailing how to gain shareholder confidence.

Question 6(a) – 8 marks

This question required candidates to calculate the bond prices and the respective number of the bonds needed to be issued for the Company given in the case.

The candidates' performance was poor. Most of the candidates did not present their calculation of bond value properly, and some candidates even used the IRR method

to calculate the bond price, which was irrelevant. Some weaker candidates omitted that the interest of the bond was paid semi-annually, and some candidates used the wrong bond price provided in the table.

Some candidates did not even attempt this question. In general, candidates demonstrated a very weak understanding of bonds. Candidates are thus recommended to better their understanding and knowledge of this topic.

Question 6(b) – 4 marks

This question required candidates to recommend appropriate financing options under the specific conditions given in the case.

The candidates' performance was fair. Candidates in general were able to understand the question requirement and were able to recommend some financing options. However, candidates did not demonstrate familiarity with the specific characteristic of each financing option, so the answers did not fully fit the case requirement. Candidates failed to further differentiate the difference between right issues and share options, and candidates failed to indicate the appropriate target groups that the shares should be issued to specifically.

Some less careful candidates mentioned an IPO as a financing option without considering that the Company had already been listed.

Question 6(c) – 4 marks

This question required candidates to apply the relevant regulatory framework of Hong Kong to advise on the acquisition plan given in the case.

The candidates' performance was fair. Candidates in general were able to refer to the Codes on Takeovers and Mergers and Share Buy-backs ("the Codes") and to refer to the principles of the Codes. Most of the candidates were able to identify the principles of fairness and even-handed as well as the General Offer required in this case. However, only a few candidates mentioned the principle of full disclosures.

Some candidates provided irrelevant discussions about insider dealing.

Question 7(a) – 5 marks

This question required candidates to advise on how to enhance the structure of the finance department in order to improve fund-raising capabilities.

The candidates' performance was satisfactory. Candidates in general were able to advise the Company on how to set up a treasury function. Some higher performing candidates were able to further elaborate on how the treasury department could enhance the fund-raising capabilities.

Some candidates provided irrelevant discussions related to the liquidity management function of the treasury, which was not required by the question.



Question 7(b) – 6 marks

This question required candidates to recommend appropriate regulatory bodies which enhance the quality of the financial statement of a listed company with justification.

The candidates' performance was poor. Candidates mainly focused on their discussion related to SFC, HKEX, and ICAC. Only some of the candidates mentioned that compliance shall be reported to FRC, which is the primary regulator for the quality of the financial statement.

Some candidates mentioned HKICPA, which was explicitly excluded in the question. Candidates are suggested to familiarise themselves with the latest development of the regulatory framework of Hong Kong Listed Companies as well as their respective roles and responsibilities.

Question 7(c) – 5 marks

This question required candidates to apply the Corporate Governance Code of the Main Board Listing Rules to advise on a better governance structure to manage and monitor the risks on financial misstatement as well as the performance of auditors.

The candidates' performance was good. Candidates generally had a good idea about the requirements and purpose of Corporate Governance, and they were able to refer to the setup of the Audit Committee and its role and responsibilities with appropriate elaboration. However, some candidates provided irrelevant discussions on topics such as the Independent Non-executive Director and the separation of roles between Chairman and CEO.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. Candidates should learn how to apply their technical and practical knowledge, such as PEST and Porter's five forces models, to answer case questions. It is also expected that candidates should be able to calculate financial ratios correctly and to present and analyse them in a professional manner in their answers. Moreover, candidates should improve their time management skills in order to complete all questions in the examination and to avoid writing answers in point forms. Candidates should continue practicing using past examination papers to strengthen their analytical and writing skills, both of which are key components in Module 12 examinations.